

4-HOUR INSTRUCTOR-LED TRAINING · MICROSOFT AZURE

LLM System Optimization & Deployment

Scalability · Lightweight Adapters · Enterprise Deployment on Azure

AI Engineers

ML Engineers

Data Scientists

Cloud Engineers

Software Engineers

Ruthran Raghavan

Chief AI Scientist

www.ruthranraghavan.com

Presentation Agenda

Five sections across 4 hours of instructor-led content

01

Introduction

Post-training lifecycle · Research vs Production · Deployment challenges

02

LLM System Optimization

Latency · Throughput · GPU & Memory · Cost · Metrics

03

Scalability

Vertical/Horizontal Scaling · Distributed Inference · KV Cache · Continuous Batching

04

Lightweight Adapters

PEFT · LoRA · QLoRA · Prefix Tuning · Prompt Tuning · IA³ · BitFit

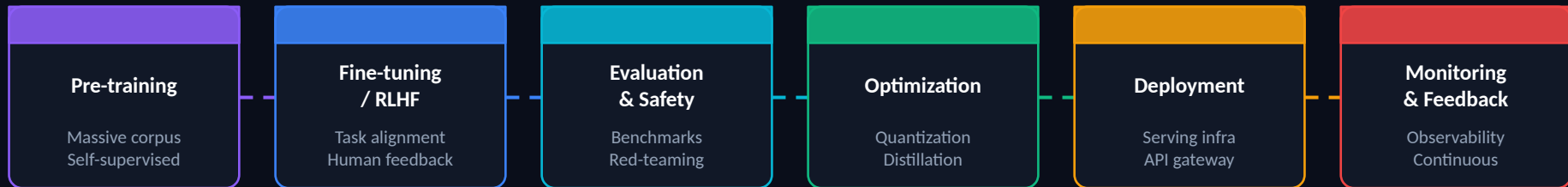
05

Enterprise Deployment

Azure AI Foundry · Security · MLOps · Case Studies · Governance

What Happens After Training an LLM?

The journey from trained model to production system



Training is 5% of the work

Deployment, monitoring, scaling and operations consume the majority of engineering effort in production AI systems.

Production $\neq$ Research

Research cares about accuracy. Production cares about latency, cost, reliability, and serving thousands of concurrent users.

The LLM Lifecycle is Continuous

Models must be updated, re-evaluated, monitored for drift, and re-deployed in a continuous loop — not shipped once.

Research vs Production: A Critical Distinction

Dimension	Research Environment	Production Environment
Primary Goal	Maximize accuracy / new techniques	Reliability, latency, cost, scalability
Dataset	Fixed benchmark datasets	Live user data, dynamic & evolving
Hardware	Single GPU / research cluster	Multi-GPU, multi-node, cloud infra
Latency	Not a priority (batch runs)	P50 < 500ms, P99 < 2s SLA
Throughput	1 request at a time	Thousands of concurrent requests
Failure mode	Acceptable (retry & report)	Triggers incident response
Reproducibility	Required for papers	Best-effort; versioned deployments
Cost	Grant / lab budget	\$/token, \$/hour optimized KPIs
Monitoring	TensorBoard, loss curves	Prometheus, Grafana, APM, tracing
Iteration	Weeks per experiment	Continuous deployment, A/B testing

Reference: Microsoft Azure Well-Architected Framework for AI · Anthropic Model Card Documentation · OpenAI Production Guidelines

Why LLM Deployment is Uniquely Difficult

Eight compounding challenges that don't exist in traditional software

Extreme Model Size

GPT-3: 175B params, ~350GB fp16.
Fitting in GPU memory requires
model parallelism across multiple
devices.

Autoregressive Latency

Tokens generated one at a time. 500-
token response at 30 tok/s = 16+
seconds without optimization.

GPU Cost

A100 80GB costs ~\$3/hr. A single
model may need 8-16 GPUs. At scale
this is millions/month.

Variable Request Length

Input/output lengths are
unpredictable. Batching strategies
must handle 10-token and 10,000-
token requests simultaneously.

Security & Privacy

Models can memorize training data.
Prompt injection, data leakage, and
jailbreaks are active attack surfaces.

Non-determinism

LLMs produce different outputs at
temperature > 0. Testing, monitoring,
and QA are fundamentally different.

Global Scale

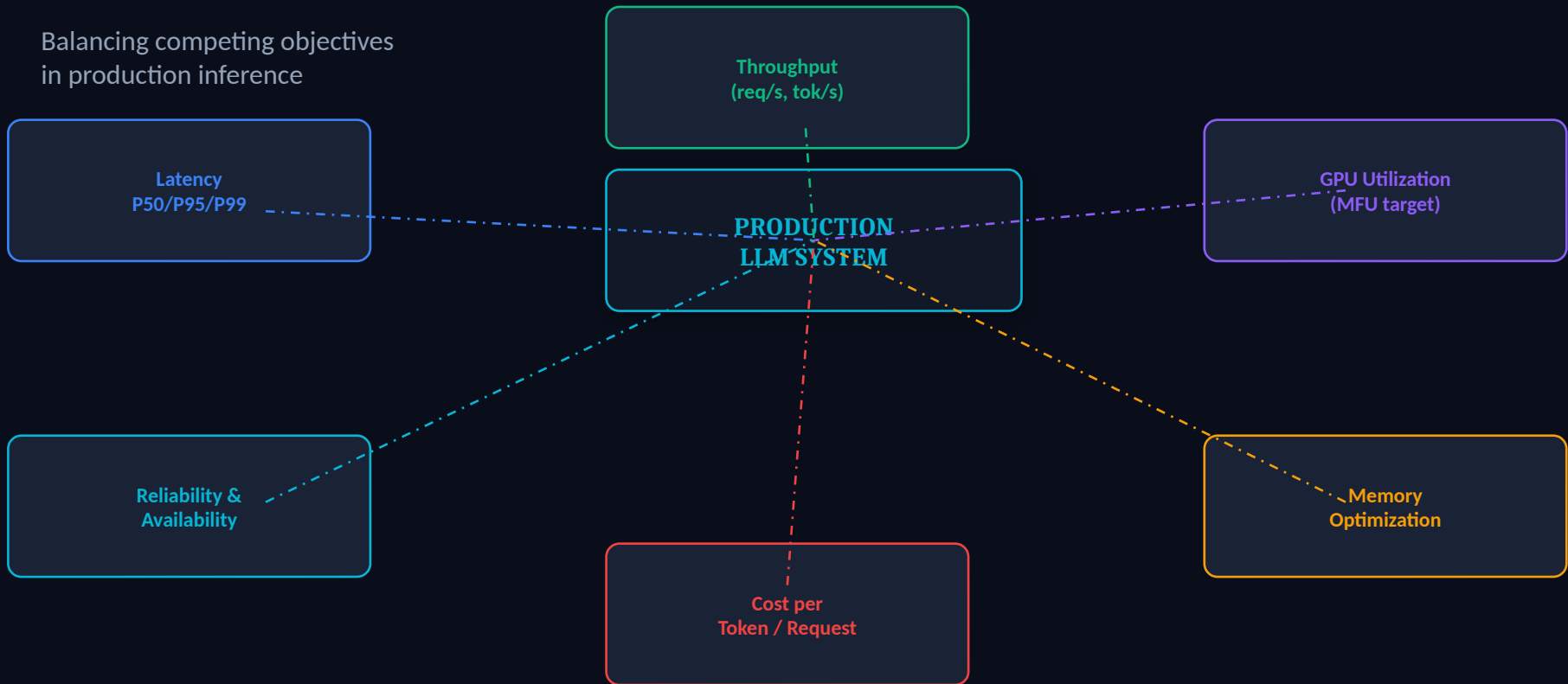
Serving users across time zones with
consistent SLAs requires multi-region
deployment and geo-routing.

Continuous Evolution

Model versions, adapter weights,
prompts, and safety filters all change
independently and must be
versioned.

LLM System Optimization: Key Dimensions

Balancing competing objectives
in production inference



< 300ms

Time to First Token
TTFT target

50-200

Tokens / Second
per request

> 50%

GPU MFU
Model Flop Util.

\$0.01-\$5

Cost / 1M Tokens
production range

Latency, Throughput & GPU Optimization

Understanding the production inference bottleneck

Latency Components

- TTFT (Time to First Token): KV cache miss, prefill phase
- TPOT (Time Per Output Token): Decode phase, memory bandwidth
- End-to-end latency: $TTFT + N \times TPOT$

Throughput Metrics

- Requests per second (RPS)
- Tokens per second (TPS) — total and per request
- Batch utilization rate

GPU Optimization Techniques

- **Flash Attention:** IO-aware exact attention, reduces HBM r/w by 5-20x. ArXiv: 2205.14135
- **Paged Attention:** Non-contiguous KV cache via virtual memory pages (vLLM). Eliminates fragmentation.
- **Quantization:** INT8/INT4 weights reduce memory footprint 2-4x with <1% accuracy loss. GPTQ, AWQ.
- **CUDA Kernel Fusion:** Fuse elementwise ops to reduce kernel launch overhead and memory transactions.
- **Tensor Parallelism:** Split weight matrices across GPUs. Megatron-LM style tensor slicing for large models.
- **Continuous Batching:** Iteration-level scheduling. New requests join mid-generation. Increases GPU utilization 2-4x.

References: Flash Attention (Dao et al., 2022) arXiv:2205.14135 · PagedAttention (Kwon et al., 2023) arXiv:2309.06180 · vLLM GitHub · NVIDIA TensorRT-LLM Docs

Scalability: Vertical vs Horizontal

Scaling strategies for LLM inference workloads

↑ Vertical Scaling

Add more powerful hardware to a single node

▶ A100 80GB → H100 80GB

▶ NVLink 600 GB/s interconnect

▶ More CPU cores + DRAM

▶ Faster NVMe storage

✓ Best for: Single large model that won't fit in smaller GPUs

✗ Limit: Physical hardware ceiling; expensive

→ Horizontal Scaling

Add more nodes; distribute load across instances

Load Balancer

GPU Instance 1

GPU Instance 2

GPU Instance 3

✓ Best for: High-throughput serving; auto-scaling demand

✗ Limit: Model must fit in single node; network overhead

Distributed Inference: Parallelism Strategies

Tensor, Pipeline, and Data Parallelism for LLM serving

Tensor Parallelism

Analogy: Splitting a single very wide table across multiple desks

How: Weight matrices are sharded column-wise / row-wise across GPUs. Each GPU computes a partial result; results are aggregated via AllReduce.

When: When single layer doesn't fit in one GPU. Megatron-LM splits attention heads and FFN layers.

$$\text{Memory per GPU} \approx \text{Total Params} / N_{\text{GPUs}}$$

Best Practice: Use TensorParallelism within a node (NVLink); combine with Pipeline across nodes for largest models

Pipeline Parallelism

Analogy: Assembly line: each station handles different transformer layers

How: Different layers (transformer blocks) assigned to different GPUs. Micro-batching reduces pipeline bubble time. GPT-NeoX, Megatron use this.

When: For very deep models. Effective when layer count > GPU count. Requires careful micro-batch scheduling.

$$\text{Bubble fraction} \approx (N_{\text{stages}} - 1) / M_{\text{microbatches}}$$

Best Practice: Set micro-batch count $\geq 4 \times$ pipeline stages to minimize bubble. Use gradient checkpointing

Data Parallelism

Analogy: Multiple cashiers serving different queues with identical registers

How: Multiple identical model replicas each serve different request batches. No cross-GPU communication during forward pass.

When: When model fits on single GPU. Scale throughput linearly by adding replicas. Used in most horizontal scaling scenarios.

$$\text{Throughput} \approx \text{Single_replica_throughput} \times N_{\text{replicas}}$$

Best Practice: Add replicas behind a load balancer. Use auto-scaling groups on AKS / Azure ML

References: Megatron-LM (Shoeybi et al., 2019) arXiv:1909.08053 · PipelineParallelism (GPipe, Huang et al.) arXiv:1811.06965 · NVIDIA Megatron-LM GitHub

KV Cache, Continuous Batching & Load Balancing

Core throughput optimization patterns for production LLM serving

KV Cache (Key-Value Cache)

During autoregressive decoding, attention keys and values for all previous tokens are cached in GPU memory. Without caching, each decode step recomputes $O(\text{seq}^2)$ attention — prohibitively expensive at long contexts.

- Paged Attention (vLLM): virtual pages prevent fragmentation
- Memory: KV cache size = $2 \times \text{layers} \times \text{heads} \times \text{d_head} \times \text{seq_len} \times \text{batch} \times \text{dtype_bytes}$
- For Llama-2 70B: ~1MB per token per batch element

Continuous Batching (Iteration-Level Scheduling)

Traditional static batching waits for all requests in a batch to finish before accepting new ones. Continuous batching (Orca, 2022) inserts new requests at each iteration.

- GPU utilization improvement: 2-4x over static batching
- Key insight: shorter requests free GPU slots immediately
- Implemented in: vLLM, TGI (HuggingFace), TensorRT-LLM

Load Balancing & Queue Management

Round Robin

Distribute requests evenly. Simple but ignores GPU state.

Least-Loaded

Route to replica with fewest active tokens in KV cache.

Prefix-Aware Routing

Route same system-prompt requests to same replica to maximize KV prefix cache hits.

Queue Management

Use token bucket / leaky bucket for rate limiting. Separate queues for streaming vs non-streaming.

Auto-Scaling Trigger

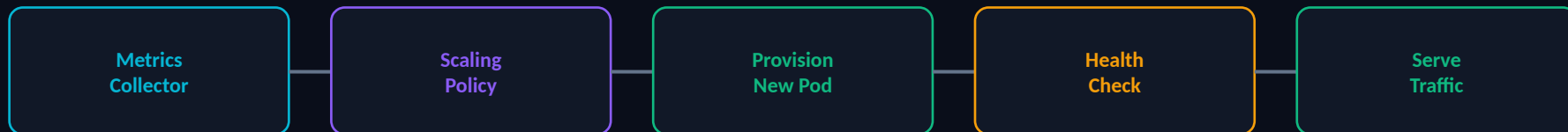
Scale out when queue depth > threshold or GPU utilization > 80% for >60s.

References: Orca (Yu et al., 2022) USENIX OSDI · vLLM (Kwon et al.) arXiv:2309.06180 · HuggingFace TGI Documentation

Auto-Scaling, Streaming & High Availability

Production-grade reliability and responsiveness patterns

Auto-Scaling Architecture



Scale-Out Triggers:

GPU Utilization > 80% for 60s · Queue Depth > 100 requests · P99 Latency > 3s for 30s · Token rate > 90% capacity

Server-Sent Events (SSE) Streaming

Stream tokens to client as generated. Reduces perceived latency dramatically. Client receives token stream via HTTP chunked transfer. Azure OpenAI stream: true parameter enables SSE. Handle backpressure at gateway layer.

High Availability Patterns

Multi-AZ deployment: replicas across 3+ availability zones
Health probes: /health endpoint with 200 OK required
Circuit breaker: fail-fast on downstream errors
Graceful shutdown: drain active requests before pod termination
Target: 99.9% uptime = <8.7hr downtime/year

Best Practice: Azure AKS HPA

Use Horizontal Pod Autoscaler with custom KEDA metrics. Scale on GPU utilization (DCGM Prometheus exporter) and queue depth (Azure Service Bus). Set minReplicas ≥ 2 for HA. Use Azure Spot VMs for cost optimization with preemption handling.

References: KEDA (Kubernetes Event-driven Autoscaling) docs · Azure AKS HPA documentation · Azure Monitor GPU Metrics with DCGM Exporter

Parameter-Efficient Fine-Tuning (PEFT)

Fine-tune large models by updating only a fraction of parameters

Why PEFT?

Full fine-tuning of a 70B model requires $70B \times 4 \text{ bytes} = 280GB$ for weights alone + optimizer states (3× more for Adam). PEFT methods update <1% of parameters while achieving 95%+ of full fine-tuning performance.

Full FT 70B	LoRA 70B	QLoRA 70B	Prompt Tuning	Prefix Tuning
GPU Req. 8× A100	GPU Req. 2× A100	GPU Req. 1× A100	GPU Req. 1× A100	GPU Req. 1× A100
Train Cost \$\$\$\$\$	Train Cost \$	Train Cost \$	Train Cost \$	Train Cost \$
Params 100%	Params 0.1%	Params 0.1%	Params 0.001%	Params 0.01%

PEFT Method Taxonomy

► Adapter Methods: LoRA, QLoRA, IA³, AdaLoRA

► Prompt-based: Prompt Tuning, Prefix Tuning, P-Tuning v2

► Selective: BitFit (bias-only), Partial Layer Fine-Tuning

LoRA & QLoRA: Low-Rank Adaptation

The most widely adopted PEFT methods in production

LoRA (Low-Rank Adaptation)

Core Idea: Freeze pre-trained weights W_0 . Approximate the weight update ΔW by decomposing into two low-rank matrices:

$$\mathbf{W} = \mathbf{W}_0 + \Delta \mathbf{W} = \mathbf{W}_0 + \mathbf{B}\mathbf{A}$$

$$\mathbf{B} \in \mathbb{R}(d \times r), \quad \mathbf{A} \in \mathbb{R}(r \times k), \quad \text{rank } r \ll \min(d, k)$$

- ▶ d and k = original weight matrix dimensions (e.g., 4096×4096)
- ▶ r = rank (typically 4, 8, 16, or 64). Only $r \ll d$ parameters needed
- ▶ α = scaling factor (lora_alpha). Effective LR = α/r
- ▶ Trainable params: $r \times (d+k)$ vs original $d \times k$. For $r=8$, $d=k=4096$: 65K vs 16.7M
- ▶ At inference: $W+BA$ can be merged — zero overhead vs base model!
- ▶ Applied to: Q, K, V, O projection matrices in attention layers

QLoRA

QLoRA = 4-bit quantized base model + LoRA adapters in BFloat16

NF4 Quantization:

4-bit NormalFloat: optimal for normally distributed weights. 2× compression vs INT8.

Double Quantization:

Quantize the quantization constants themselves. Saves ~0.37 bits/param extra.

Paged Optimizers:

Uses NVIDIA unified memory to page optimizer states from GPU ↔ CPU during gradient steps.

Memory result:

Fine-tune 65B model on single 48GB GPU. Full FT would need 8× A100 80GB.

Accuracy trade-off:

QLoRA achieves 99.3% of LoRA performance at 35% the memory cost (Dettmers et al., 2023).

References: LoRA (Hu et al., 2021) arXiv:2106.09685 · QLoRA (Dettmers et al., 2023) arXiv:2305.14314 · HuggingFace PEFT Library

Other PEFT Methods: Prefix, Prompt, IA³, BitFit

Complete comparison of lightweight adaptation strategies

Prefix Tuning

Prepend trainable continuous vectors (prefix) to the Key and Value matrices of every attention layer. The model never sees the prefix as actual input tokens.

Params: $\text{prefix_len} \times 2 \times \text{n_layers} \times \text{d_model}$

✓ Works for all sequence lengths ✗ Prefix occupies KV cache slots

Use when: NLP generation tasks. Better than Prompt Tuning for complex tasks. Prefixes not interpretable as natural language.

Prompt Tuning

Prepend trainable soft tokens only to the input embedding layer (not to every layer). Simplest PEFT approach. Scales better with model size.

Params: $\text{prompt_len} \times \text{d_embed}$ (e.g., $100 \times 768 = 76.8\text{K}$)

✓ Single model, multiple tasks ✗ Underperforms on small models

Use when: Competitive with full FT for models >11B. Poor for smaller models. Easy to swap prompts per task.

IA³ (Infused Adapter)

Introduces learned rescaling vectors (l_k, l_v, l_{ff}) that multiply into attention keys, values, and FFN activations. Fewer params than LoRA.

Params per layer: $3 \times \text{d_model}$ (vs LoRA: $2 \times r \times \text{d_model}$)

✓ Extremely parameter-efficient ✗ Less flexible than LoRA

Use when: Few-shot scenarios. T-Few paper showed IA³ outperforms LoRA on many-task benchmarks at 10× fewer parameters.

BitFit (Bias Fine-Tuning)

Fine-tune only the bias vectors of all Linear layers. Freezes all weight matrices completely. Surprisingly effective for classification tasks.

Params: ~0.1% of model (bias vectors only)

✓ Trivially simple, extremely cheap ✗ Limited expressivity for generation

Use when: Quick adaptation with minimal resources. Best for classification, lower-level NLP tasks. Not suitable for generative tasks at high quality.

References: Prefix-Tuning (Li & Liang, 2021) arXiv:2101.00190 · Prompt Tuning (Lester et al., 2021) arXiv:2104.08691 · IA³ (Liu et al., 2022) arXiv:2205.05638 · BitFit (Zaken et al., 2021) arXiv:2106.10199

PEFT Methods: Complete Comparison

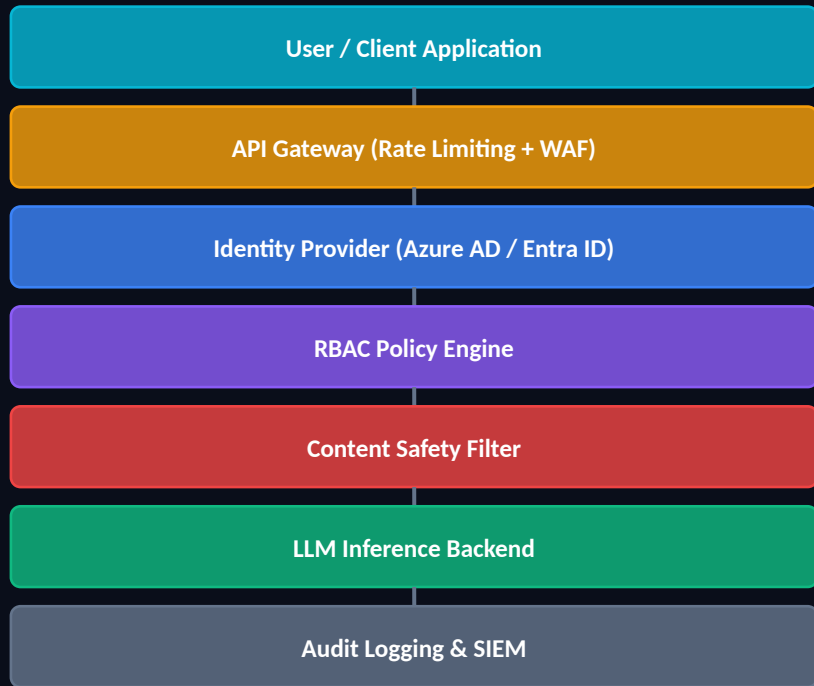
Decision guide for selecting the right fine-tuning strategy

Method	Trainable Params	GPU Memory	Inference Overhead	Best Use Case	Production Readiness
Full Fine-Tuning	100%	Very High (8×A100 for 70B)	None (merged)	Maximum task adaptation	★★★★★
LoRA	~0.1%	Low (1–2×A100 for 70B)	None (mergeable)	General task fine-tuning	★★★★★
QLoRA	~0.1%	Very Low (1×A100 for 65B)	Quantization overhead	Resource-constrained environments	★★★★☆
Prefix Tuning	~0.01%	Very Low	Prefix in KV cache	Text generation, NLP tasks	★★★★☆
Prompt Tuning	~0.001%	Minimal	Extra input tokens	Large models (>11B), multi-task	★★★★☆
IA ³	~0.01%	Very Low	Element-wise multiply	Few-shot, many tasks on one model	★★★★☆
BitFit	~0.1%	Minimal	None	Classification, quick experiments	★★★☆☆

Decision Rule: Start with LoRA ($r=16$). If memory-constrained → QLoRA. If no fine-tuning data → Prompt/Prefix Tuning. If many tasks on one model → IA³.

Enterprise Security: Authentication, Authorization & RBAC

Zero-trust security architecture for production LLM systems



Azure RBAC for LLM Systems

- AI Application Owner**
Full model management, deployment control, cost center access
- AI Model Deployer**
Deploy/update models, manage endpoints, view metrics
- AI API Consumer**
Call inference endpoints, read completions only
- AI Safety Reviewer**
View flagged content, update content filters, read audit logs
- AI Cost Analyst**
View usage metrics, cost dashboards — read only

Best Practices: Managed Identity (no keys in code) · Private Endpoints · Azure Key Vault for secrets · Conditional Access Policies

MLOps / LLMOps: Monitoring & Observability

Continuous operations for production AI systems



Metrics (RED Method)

- Rate: requests/second per endpoint
- Errors: 4xx/5xx rate, content filter triggers
- Duration: TTFT, TPOT, E2E latency percentiles
- Token metrics: input/output tokens, cost/request
- GPU: utilization, memory, temperature

Logging & Tracing

- Structured JSON logs: request_id, user_id, model_version
- Distributed tracing: Azure App Insights, OpenTelemetry
- Prompt & completion logging (with PII masking)
- Audit logs: who called what endpoint, when
- Log retention: 30-90 days for compliance

Alerting & Dashboards

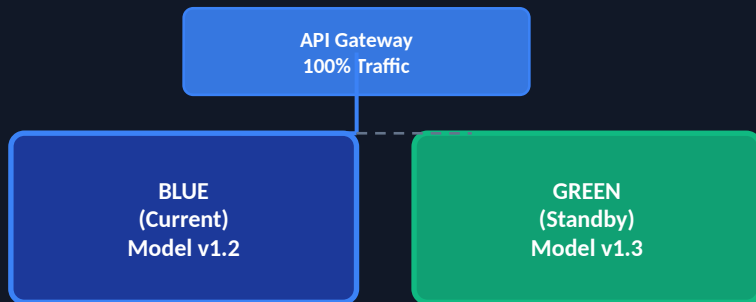
- P99 latency > SLA threshold → PagerDuty alert
- Error rate > 1% for 5 min → incident trigger
- GPU utilization < 20% for 30 min → scale-in
- Cost anomaly: spend > 2× baseline → alert
- Grafana/Power BI dashboards for stakeholders

References: Azure Monitor (learn.microsoft.com/azure/azure-monitor) · Azure Application Insights · OpenTelemetry Specification · Azure AI Foundry Monitoring

Blue-Green & Canary Deployment for LLMs

Zero-downtime model updates and safe rollout strategies

Blue-Green Deployment



1. Deploy new model (Green) alongside live (Blue)
2. Run smoke tests, benchmark, safety checks on Green
3. Switch API Gateway → Green in seconds
4. Blue becomes new standby (instant rollback)
5. If issues: flip back to Blue in < 30 seconds

Canary Deployment

5%

Initial canary — validate with minimal users

20%

Expand if metrics healthy after 1h

50%

Gradual ramp; monitor error rates

100%

Full rollout — decommission old version

Rollback trigger: error rate > 2% or P99 > 4s during canary phase → auto-rollback via pipeline gate

Microsoft Azure AI Platform Overview

Azure AI Foundry, Azure OpenAI Service & Azure Machine Learning

Azure AI Foundry

Unified hub: models, datasets, deployments, evaluations, prompt flows

Microsoft Azure AI Platform

Azure OpenAI Service

GPT-4o, GPT-4, o1, DALL-E, Whisper with enterprise SLAs

Azure Machine Learning

Custom model training, fine-tuning, MLflow integration, pipelines

Azure Kubernetes Service

Managed K8s for self-hosted model serving at enterprise scale

Azure Monitor + App Insights

Azure Key Vault

Private Endpoints + VNet

Managed Identity

References: Azure AI Foundry Documentation (ai.azure.com) · Azure OpenAI Service (learn.microsoft.com/azure/cognitive-services/openai) · Azure Machine Learning Docs

Azure LLM Deployment Modes

Provisioned Throughput Units, Serverless, and Self-Hosted on AKS

Provisioned Throughput Units (PTU)

Reserved, dedicated capacity

- ▶ Reserve dedicated GPU capacity in Azure datacenter
- ▶ Guaranteed throughput: e.g. 300 PTUs ≈ sustained 60 RPM for GPT-4
- ▶ Predictable latency SLA — eliminates noisy-neighbor effects
- ▶ Best for: high-volume, consistent production workloads
- ▶ Pricing: hourly committed capacity (monthly discount available)
- ▶ Minimum: 100 PTU purchase; scale in 100 PTU increments

Serverless API (Pay-per-Token)

On-demand, consumption-based

- ▶ No capacity reservation; billed per 1K input/output tokens
- ▶ Zero management overhead — Microsoft manages all infra
- ▶ Best for: variable workloads, prototyping, bursty demand
- ▶ Automatic load balancing across Microsoft's global fleet
- ▶ Models: GPT-4o, GPT-4, GPT-3.5-Turbo, text-embedding-ada-002
- ▶ Rate limits: configurable TPM (Tokens Per Minute) per deployment

Self-Hosted on AKS

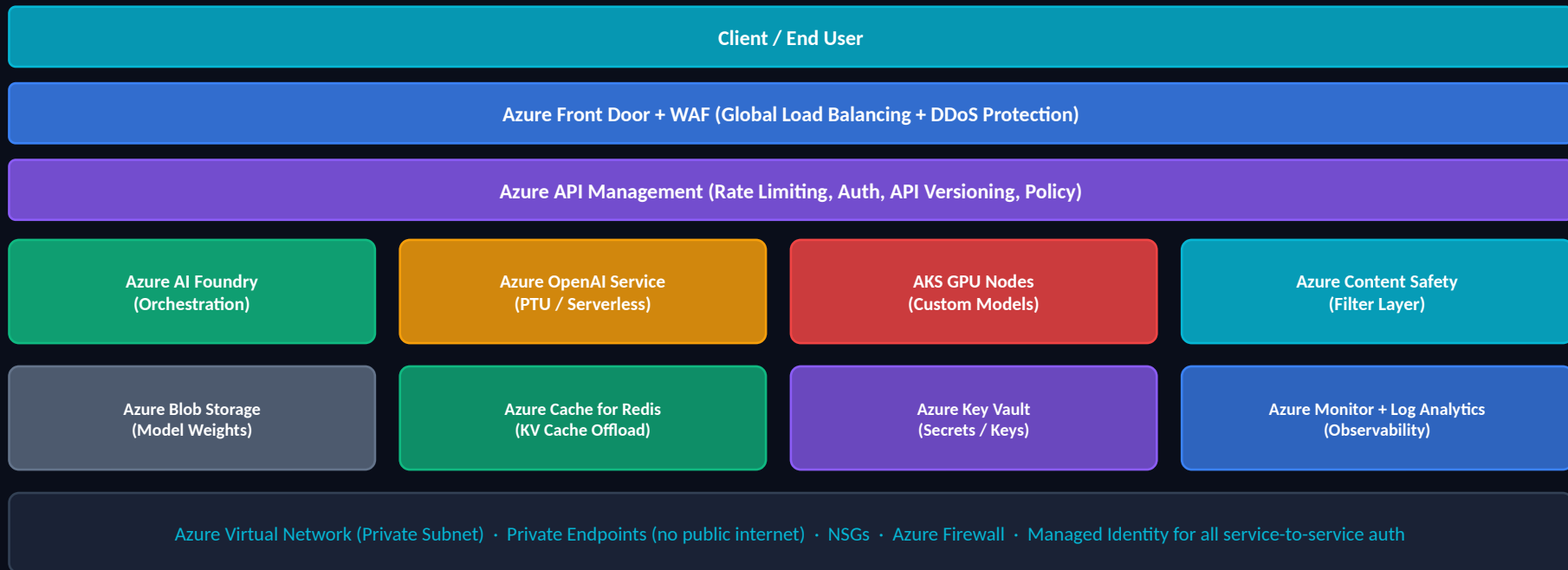
Maximum control & customization

- ▶ Deploy any open-source model: Llama 3, Mistral, Phi-3
- ▶ Full control over model weights, serving runtime, network
- ▶ Use NVIDIA TensorRT-LLM or vLLM on AKS GPU node pools
- ▶ Best for: fine-tuned models, data sovereignty, custom runtimes
- ▶ Integration: Azure Container Registry, ACR, Helm charts
- ▶ Cost: NC/ND series VMs; Spot for non-critical workloads

Choose: PTU for predictable high-volume · Serverless for variable demand · AKS for custom/open models + data sovereignty

Azure Production LLM Architecture

End-to-end enterprise deployment reference architecture



References: Azure AI Landing Zone · Azure Architecture Center (docs.microsoft.com/azure/architecture) · Enterprise Azure OpenAI Service deployment guide

Cost Optimization & Enterprise Governance

Controlling LLM costs and enforcing responsible AI policies

Cost Optimization Strategies

Right-size Model:	Use GPT-4o mini instead of GPT-4 where accuracy threshold permits. 10× cheaper/token.
Prompt Compression:	LLMLingua: compress prompts 3-6× with minimal quality loss. Saves input tokens.
Response Caching:	Semantic cache (Redis + embedding similarity). Cache hit rate 20-40% in practice.
Batching:	Batch non-real-time requests (document processing). Async queue + batch endpoint.
PTU vs Serverless:	PTU at high utilization (>60%) is 30-50% cheaper than pay-per-token serverless.
Output Length Control:	max_tokens parameter. Streaming + early stop. Reduces unused token generation cost.
Azure Reservations:	1-year or 3-year committed use discounts on PTU. Up to 40% savings.

Enterprise Governance

Responsible AI Framework

Microsoft RAI Principles: Fairness, Reliability, Privacy, Inclusiveness, Transparency, Accountability

Content Safety

Azure AI Content Safety: Detect hate, violence, sexual content. Groundedness detection for RAG.

Model Versioning

Immutable model artifacts in Azure ML Registry. Semantic versioning. Rollback capability.

Data Governance

Microsoft Purview for data lineage. PII detection before prompts enter LLM. GDPR compliance.

Disaster Recovery

Multi-region active-passive. Azure Traffic Manager failover. RTO < 15 min. RPO < 1 min targets.

References: Microsoft Responsible AI (microsoft.com/ai/responsible-ai) · Azure AI Content Safety · Azure Cost Management + Billing · LLMLingua ([arXiv:2310.05736](https://arxiv.org/abs/2310.05736))

Case Study: OpenAI — Large-Scale Inference Infrastructure

Publicly documented engineering practices

⚠ The following represents publicly documented OpenAI engineering practices. Internal implementation details not publicly disclosed are omitted.

Infrastructure at Scale

- ▶ OpenAI operates one of the world's largest GPU clusters (Microsoft Azure partnership)
- ▶ Azure supercomputing infrastructure: 285,000 CPU cores, 10,000 GPUs per cluster (2020 disclosed)
- ▶ Multi-region API serving via Azure globally distributed infrastructure
- ▶ InfiniBand networking for GPU-to-GPU communication within training clusters

API Serving & Load Balancing

- ▶ OpenAI API: Global load balancing across Azure regions
- ▶ Streaming responses via Server-Sent Events (SSE) for real-time token delivery
- ▶ Rate limiting per API key: TPM (tokens/min) and RPM (requests/min) tiers
- ▶ Usage tiers: free → tier 1-5 with increasing rate limits based on spend

Safety & Monitoring Systems

- ▶ Moderation API: publicly available content policy enforcement endpoint
- ▶ System-level safeguards documented in model cards and usage policies
- ▶ Usage monitoring: automated detection of policy violations
- ▶ Red teaming: adversarial testing documented in GPT-4 technical report

Enterprise API Tier

- ▶ ChatGPT Enterprise: SOC 2 compliance, enterprise SSO, no training on data
- ▶ Azure OpenAI Service: enterprise-grade SLA, private networking, RBAC
- ▶ API: Custom rate limits, fine-tuning endpoints (GPT-3.5, GPT-4)
- ▶ Batch API (2024): async processing for large workloads at 50% cost reduction

References: OpenAI System Card (GPT-4) · OpenAI API Documentation (platform.openai.com/docs) · OpenAI Microsoft Partnership Announcements (2023) · OpenAI Batch API Docs

Case Study: Google — TPU Infrastructure & Vertex AI

Publicly documented Google AI deployment practices

⚠ The following represents publicly documented Google engineering practices. Internal implementation details not publicly disclosed are omitted.

TPU Infrastructure

- ▶ TPU v4: 275 TFLOPS BF16 per chip; pods of 4,096 chips interconnected (exaflop-scale)
- ▶ Google's Pathways system: trains across thousands of TPUs as single accelerator
- ▶ Gemini Ultra trained on TPU v4 pods — documented in Gemini Technical Report (2023)
- ▶ Custom SparseCore in TPU v5e: accelerates embedding lookups for recommendation models

Global Infrastructure

- ▶ 30+ Google Cloud regions globally for low-latency Vertex AI serving
- ▶ Multi-region deployments with automatic failover; 99.9% SLA for Vertex AI
- ▶ Dedicated hardware for enterprise customers (Google Cloud Distributed Cloud)
- ▶ Private Google Access: enterprise data stays within VPC, no public internet path

Vertex AI & Gemini Serving

- ▶ Vertex AI: managed platform for LLM deployment, fine-tuning, and RAG pipelines
- ▶ Model Garden: 100+ models available including Gemini Pro/Ultra, open models
- ▶ Gemini API: available via Google AI Studio and Vertex AI with enterprise controls
- ▶ Serving: Tensor parallelism across TPUs; publicly documented in Pathways whitepaper

Optimization & Enterprise

- ▶ Speculative decoding: draft model generates candidates; target model validates (Leviathan et al.)
- ▶ Context caching (Gemini 1.5): cache repeated context prefixes, charged at reduced rate
- ▶ Google Agentspace + NotebookLM: enterprise AI assistants on Gemini backend
- ▶ Responsible AI: SAIF (Secure AI Framework) published for enterprise guidance

References: Gemini Technical Report (google.com, 2023) · Google TPU v4 paper (ISCA 2023) · Vertex AI Documentation (cloud.google.com/vertex-ai) · Google SAIF Framework

Case Study: Anthropic — Claude & Constitutional AI

Publicly documented Anthropic deployment and safety practices

⚠ The following represents publicly documented Anthropic engineering practices. Internal implementation details not publicly disclosed are omitted.

Constitutional AI (CAI)

- ▶ Published technique: AI self-critiques responses using a set of constitutional principles
- ▶ Two stages: Supervised Learning (SL-CAI) + RLHF from AI feedback (RLAIF)
- ▶ Reduces need for human labelers on harmful content; documented in arXiv:2212.08073
- ▶ Powers Claude's safety properties: honesty, harmlessness, helpfulness (HHH)

Context Window & Efficiency

- ▶ Claude 3.5 Sonnet: 200K token context window (publicly documented)
- ▶ Prompt caching: cache system prompts to reduce latency and cost on repeated calls
- ▶ Streaming: SSE streaming supported across all API tiers
- ▶ Tool use / function calling: documented in Anthropic API reference

Multi-Cloud Deployment

- ▶ Amazon Bedrock: Claude models available via managed AWS API (Claude 3 family)
- ▶ Google Cloud Vertex AI: Claude models available in Model Garden
- ▶ Anthropic API: direct access at api.anthropic.com for developers
- ▶ Enterprise: Dedicated capacity available through Amazon Bedrock Provisioned Throughput

Safety & Enterprise Controls

- ▶ System prompt confidentiality: users cannot extract system prompts by design
- ▶ Usage policies enforced at API layer: documented at anthropic.com/usage-policy
- ▶ SOC 2 Type II certified (enterprise tier)
- ▶ Interpretability research: mechanistic interpretability work published at anthropic.com/research

References: Constitutional AI (Bai et al., 2022) arXiv:2212.08073 · Claude Model Card (anthropic.com) · Anthropic API Documentation · Amazon Bedrock Claude Docs

Industry Comparison: LLM Deployment Strategies

OpenAI vs Google vs Anthropic vs Azure — Publicly Documented Practices

Dimension	OpenAI	Google (DeepMind)	Anthropic	Microsoft Azure
Primary Hardware	NVIDIA A100/H100 (Azure)	Custom TPU v4/v5	NVIDIA (via AWS/GCP)	NVIDIA A100/H100 + AMD MI300X
Model Serving	Custom + Azure infra	Pathways + Vertex AI	API.anthropic.com + Bedrock	Azure OpenAI + AI Foundry
Context Window	GPT-4o: 128K tokens	Gemini 1.5 Pro: 1M tokens	Claude 3.5: 200K tokens	Dependent on hosted model
Parallelism	Not publicly disclosed	TPU Pod ICI fabric documented	Not publicly disclosed	Tensor/Pipeline (AKS + NCCL)
Enterprise Access	ChatGPT Enterprise + Azure OAI	Google Workspace + Vertex AI	Bedrock + GCP Vertex AI	Azure OpenAI PTU + Serverless
Safety Layer	Moderation API + RLHF	SAIF Framework + RAI	Constitutional AI (CAI)	Azure Content Safety + RAI
Multi-Region	Azure global regions	30+ GCP regions	Via AWS & GCP	60+ Azure regions globally
Compliance	SOC 2, HIPAA (enterprise)	SOC 2, HIPAA, FedRAMP	SOC 2 Type II	HIPAA, FedRAMP, ISO 27001, SOC

Note: All information sourced from publicly available documentation. Internal infrastructure details not publicly disclosed are omitted from this comparison.

Compliance, Model Versioning & Disaster Recovery

Production-grade operational requirements for regulated industries

Compliance Frameworks

- ▶ HIPAA: BAA with Microsoft Azure. PHI in prompts requires encryption at rest + transit
- ▶ GDPR: Right to erasure — cannot delete from LLM weights. Keep PII out of prompts
- ▶ SOC 2 Type II: Azure AI services maintain audit logs for 90+ days
- ▶ FedRAMP High: Azure Government regions for US federal workloads
- ▶ ISO 27001: Information Security Management — Azure certified

Model Versioning Strategy

- ▶ Immutable artifacts: model weights stored in Azure Blob with version tags
- ▶ Azure ML Model Registry: semantic versioning (major.minor.patch)
- ▶ Promotion gates: dev → staging → production with approval required
- ▶ Model metadata: training data version, hyperparams, eval scores tracked
- ▶ Rollback: re-deploy prior version in < 5 minutes via pipeline

Disaster Recovery Architecture

RTO Target: < 15 minutes

Recovery Time Objective: time to restore service

RPO Target: < 1 minute

Recovery Point Objective: max acceptable data loss

Pattern: Active-Passive

Primary region active; secondary region hot standby

Failover: Azure Traffic Manager

DNS-based health-check driven failover

Backup: Geo-redundant storage

Model weights replicated to paired Azure region

Testing: Monthly DR drills

Automated failover test; RTO measured and tracked

References: Azure Compliance Documentation (learn.microsoft.com/azure/compliance) · Azure HIPAA/HITECH · Azure ML Model Registry Docs · Azure Traffic Manager Docs

Production LLM Deployment Checklist

Engineering readiness gate for enterprise LLM systems

Performance & Scaling

- ☐ Load test to 2× peak expected RPS
- ☐ P99 latency < SLA under load
- ☐ Auto-scaling policy validated
- ☐ KV cache hit rate > 40%

Security & Access Control

- ☐ Managed Identity — no API keys in code
- ☐ Private Endpoint configured
- ☐ RBAC roles assigned (least privilege)
- ☐ Content Safety filter active

Observability & Alerting

- ☐ Metrics exported to Azure Monitor
- ☐ Alerts set for latency + error rate
- ☐ Audit logging enabled (90-day retention)
- ☐ Dashboards live in Grafana/Power BI

Deployment & Rollback

- ☐ Blue-Green or Canary strategy configured
- ☐ Rollback tested (< 5-min target)
- ☐ Model versioned in Azure ML Registry
- ☐ Deployment pipeline in CI/CD (ADO/GitHub)

Cost & Governance

- ☐ Cost alerts configured in Azure Cost Mgmt
- ☐ PTU vs Serverless decision documented
- ☐ Responsible AI impact assessment completed
- ☐ Compliance requirements signed off (legal)

Reliability & DR

- ☐ Multi-AZ deployment verified
- ☐ DR runbook written and tested
- ☐ Health probe endpoints returning 200 OK
- ☐ On-call rotation and escalation path defined

Key Takeaways: 10 Principles for LLM Production

Engineering wisdom for deploying LLMs at enterprise scale

01

Optimize for the bottleneck

Profile first. TTFT vs TPOT vs memory vs network — fix the actual constraint, not the perceived one.

03

Start with LoRA

For task adaptation, LoRA with $r=16$ is the right default. Switch to QLoRA if GPU-constrained.

05

Instrument everything

TTFT, TPOT, GPU MFU, cost/token, error rate. You cannot optimize what you do not measure.

07

Cost is a first-class metric

Cost/1K tokens is a KPI. PTU vs serverless at >60% utilization. Prompt compression saves 3-6x.

09

Compliance is architectural

HIPAA, GDPR, SOC 2 requirements must be in the design — not bolted on after deployment.

02

Continuous batching > static batching

Always use iteration-level scheduling. 2-4x throughput improvement is non-negotiable for production.

04

Security is zero-trust, always

Managed Identity. Private Endpoints. No API keys in code. Assume breach as the starting posture.

06

Design for rollback

Blue-Green or Canary for every model update. A rollback that takes >5 minutes is too slow.

08

Use Azure AI Foundry as the hub

Centralized model management, evaluations, deployments, and monitoring. Don't build from scratch.

10

LLMOps is continuous

Model updates, safety filters, adapter swaps, and cost optimization never stop. Build the pipeline.

Thank You

Questions & Discussion

Ruthran Raghavan

Chief AI Scientist · www.ruthranraghavan.com

Key References & Further Reading

- ▶ Flash Attention: Dao et al. (2022) [arXiv:2205.14135](https://arxiv.org/abs/2205.14135) · PagedAttention / vLLM: Kwon et al. (2023) [arXiv:2309.06180](https://arxiv.org/abs/2309.06180)
- ▶ LoRA: Hu et al. (2021) [arXiv:2106.09685](https://arxiv.org/abs/2106.09685) · QLoRA: Dettmers et al. (2023) [arXiv:2305.14314](https://arxiv.org/abs/2305.14314)
- ▶ Constitutional AI: Bai et al. (2022) [arXiv:2212.08073](https://arxiv.org/abs/2212.08073) · Megatron-LM: Shoeybi et al. [arXiv:1909.08053](https://arxiv.org/abs/1909.08053)
- ▶ Continuous Batching / Orca: Yu et al. (2022) USENIX OSDI · Gemini Tech Report: Google DeepMind (2023)
- ▶ Azure AI Foundry: ai.azure.com · Azure OpenAI: learn.microsoft.com/azure/cognitive-services/openai
- ▶ NVIDIA TensorRT-LLM: github.com/NVIDIA/TensorRT-LLM · HuggingFace PEFT: github.com/huggingface/peft
- ▶ Azure Kubernetes Service Docs: learn.microsoft.com/azure/aks · OpenTelemetry: opentelemetry.io